

- b. I will look at the 5-year track record of the fund, as this time period showcases some elements of recent performance, but also historical performance.
- c. I will look at the 10-year track record, even though it doesn't focus on the fund's most recent performance.

Question 2: Read the following list of names to the respondent. Then ask: Did the list contain more male or female names?

- 1. Sally
- 2. Mark
- 3. Amy
- 4. Annette
- 5. Jim
- 6. Barbara
- 7. Steven
- 8. David
- 9. Michael
- 10. Donna

Test Results Analysis

Question 1: People who select response “a” or “b” are likely subject to recency bias.

Question 2: This list actually contains an equal number of male and female names. The male names, however, are concentrated toward the end of the list. Therefore, people who suffer from recency bias are more likely to recall that the list was dominated by male names.

ADVICE

We have listed some errors that investors often commit when they are subject to recency bias. These corresponding strategies can be employed by practitioners who want to attempt to moderate recency bias in their clients.

Sample size and extrapolating trends. Investors afflicted with recency bias often make projections based only on recent data—based on a data sample too narrowly drawn to be accurately informative with regard to future market trends. This behavior is relatively easy to overcome, as investors can often be persuaded by data when it is presented to them. Often, clients simply don't have immediate access to the data they need in order to make good decisions; other times,